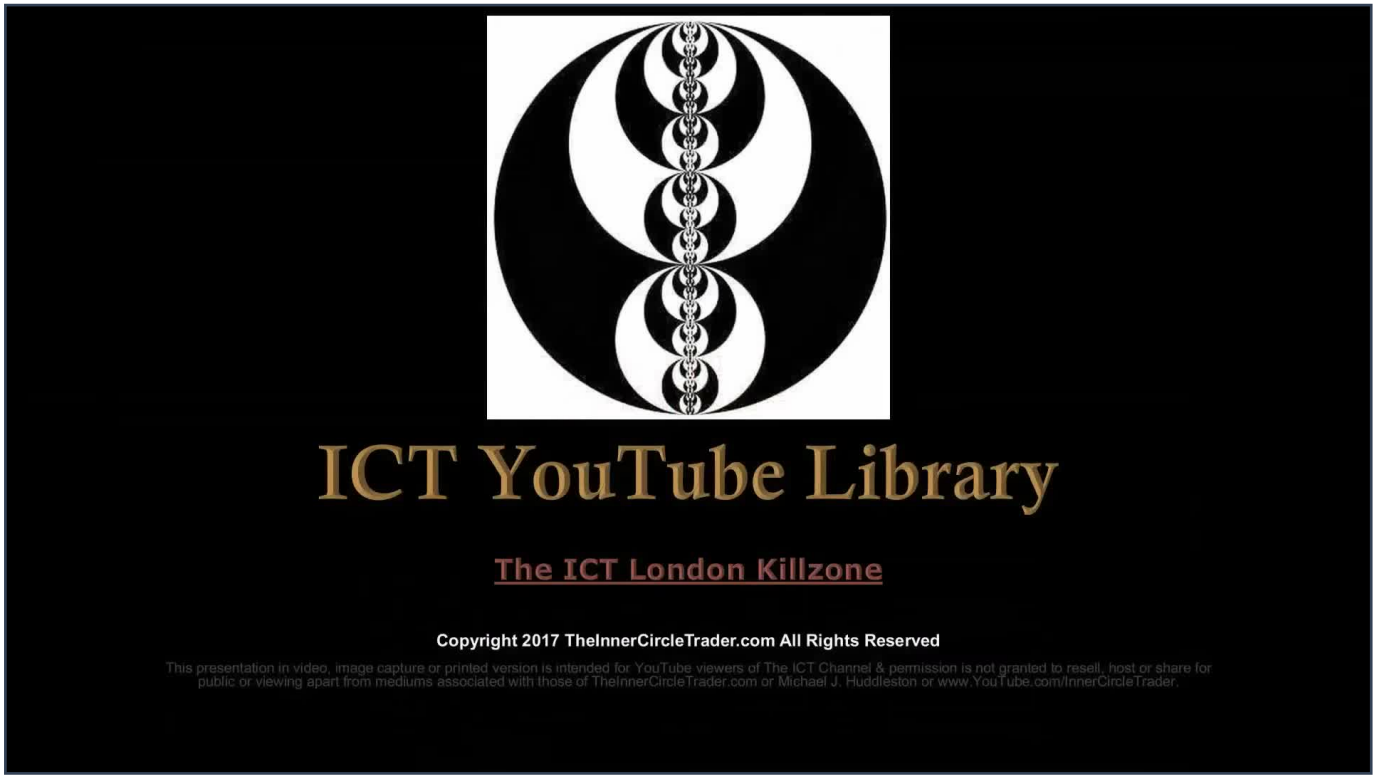
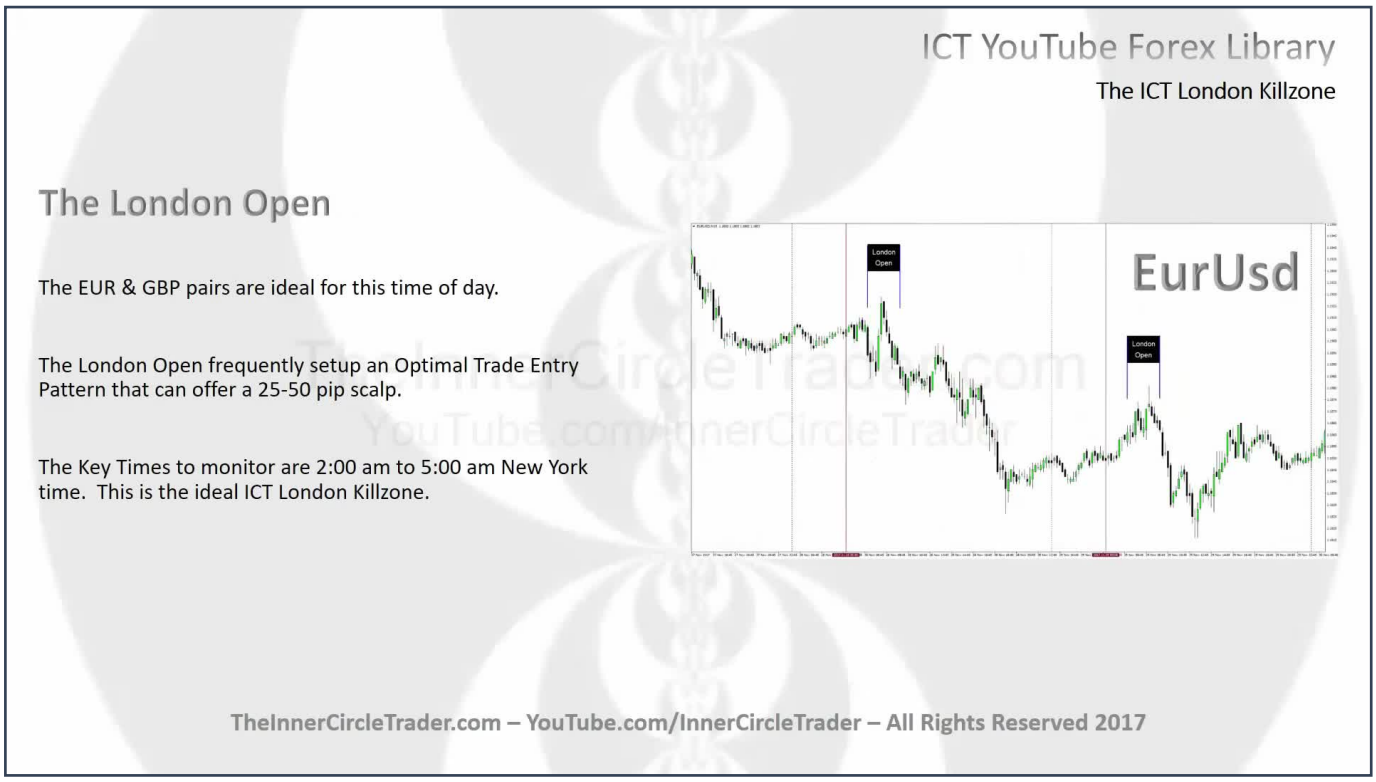
ICT MENTORSHIP CORE CONTENT

ICT FOREX - THE ICT LONDON KILLZONE



This teaching focuses specifically on the ICT London Open Killzone.

- We will cover ICT concepts relevant to this module.
- The importance of time and price.
- The London Open and London Session.
- Important characteristics of London trading.



The London Open is introduced as one of the most important timeframes in the 24-hour banking cycle.

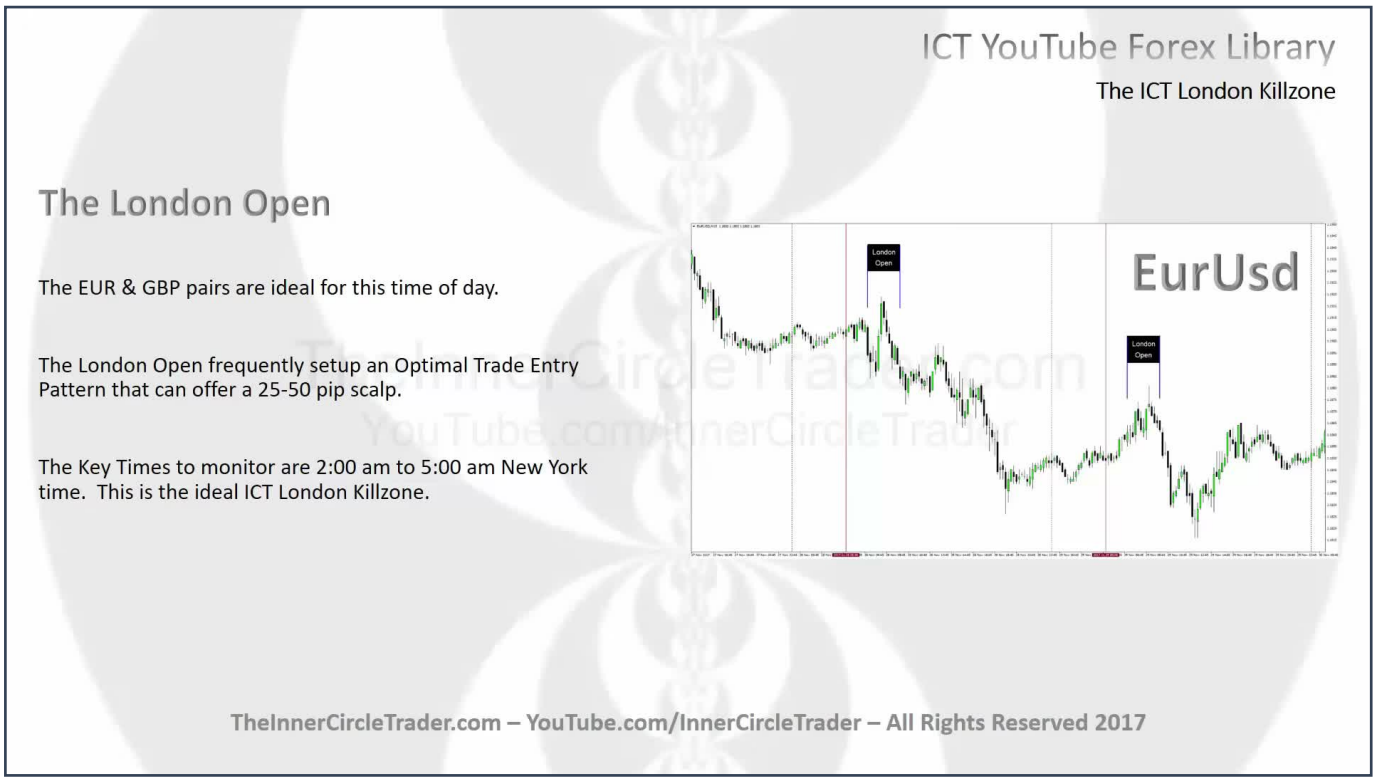
- It is typically a time I like to trade due to numerous opportunities.

- Its magnitude is a lot more favorable for a short-term trader.

- It comes with a great deal of responsibility in terms of knowing what the higher timeframes are doing.

- A lot of economic calendar releases come out overnight and can be very volatile.

- The Euro Dollar and British Pound pairs are ideal for this time of day, which is why I've elected to trade those two pairs.



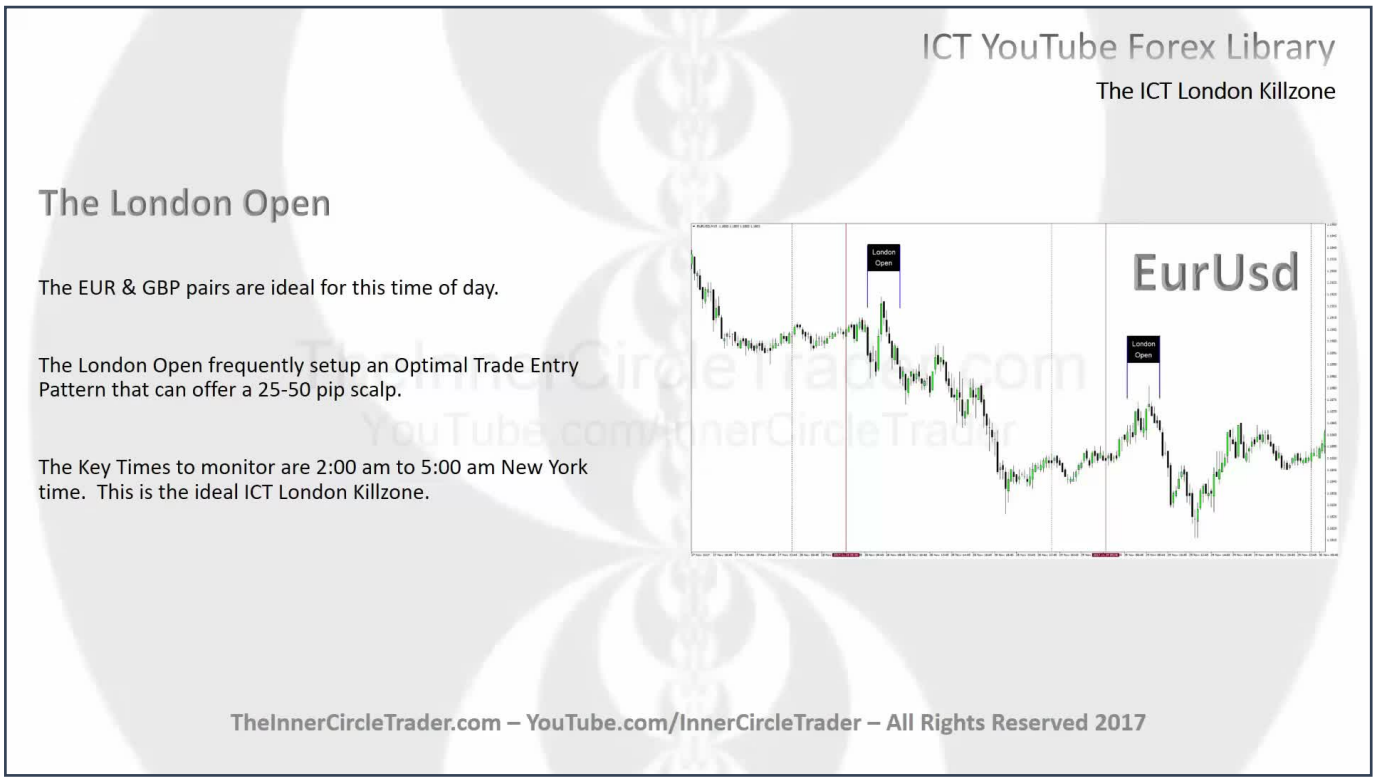
The London Open frequently sets up an optimal trade entry pattern that can offer 25 to 50 pips for a scalp.

- The key times to monitor are 2:00 AM to 5:00 AM New York time.

- The easiest way to understand the time is to determine whatever time it is in your area relative to New York time.

- Physically wait for 2:00 AM New York time, calibrate that with your broker and local time, and always have a clock for New York to know the exact time I'm referring to.

- The ideal ICT London Killzone for your learning is 2:00 AM to 5:00 AM, relative to New York time.

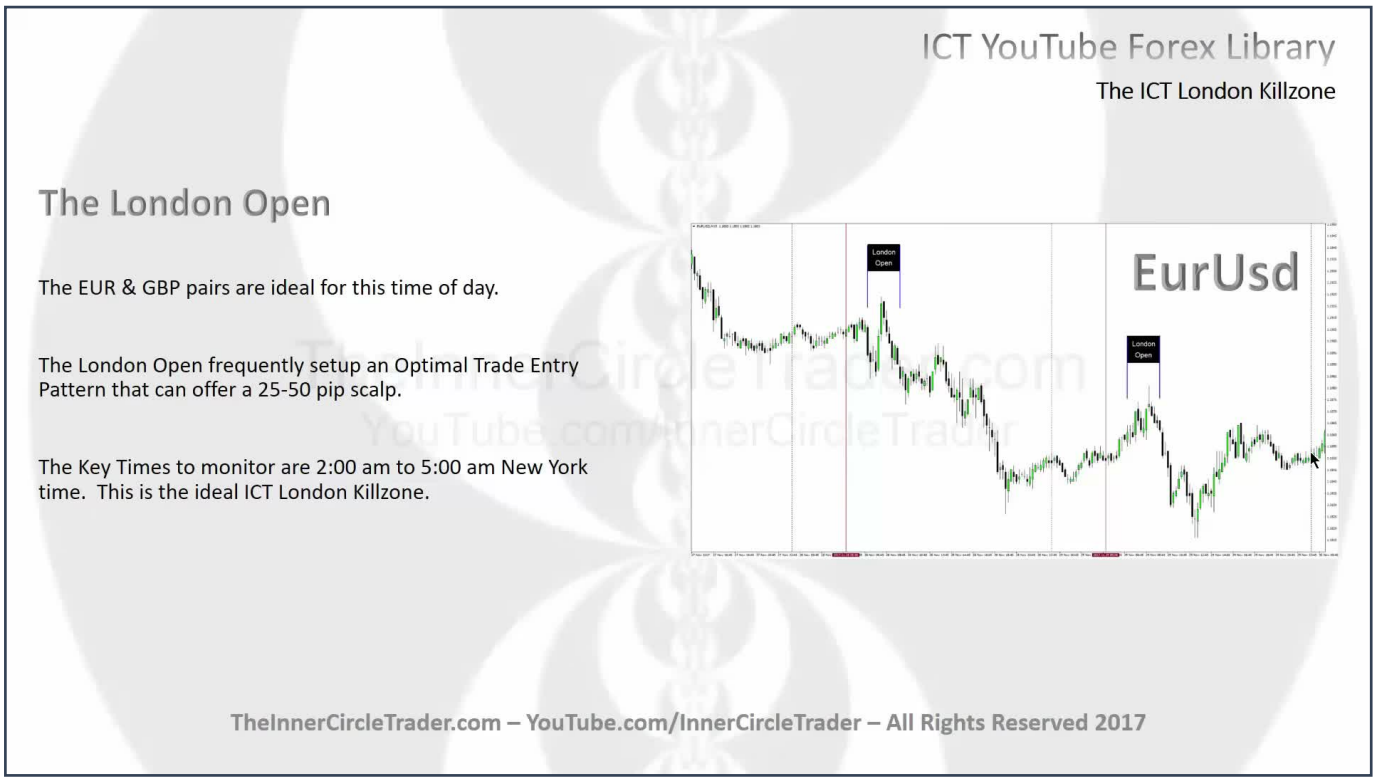


Looking at a Euro Dollar chart, two specific trading days are highlighted.

- The deep red vertical lines indicate midnight New York time for each day.

- Immediately to the right of the leftmost vertical red line, price action drops down initially, then rallies up and creates the very high of the day. The day's low forms down and closes off the low.

- The next trading day, price rallies again for the Euro Dollar up into a small segment of time, creating a high, trades down, creates a low later, and goes into consolidation, closing in the middle of the range.



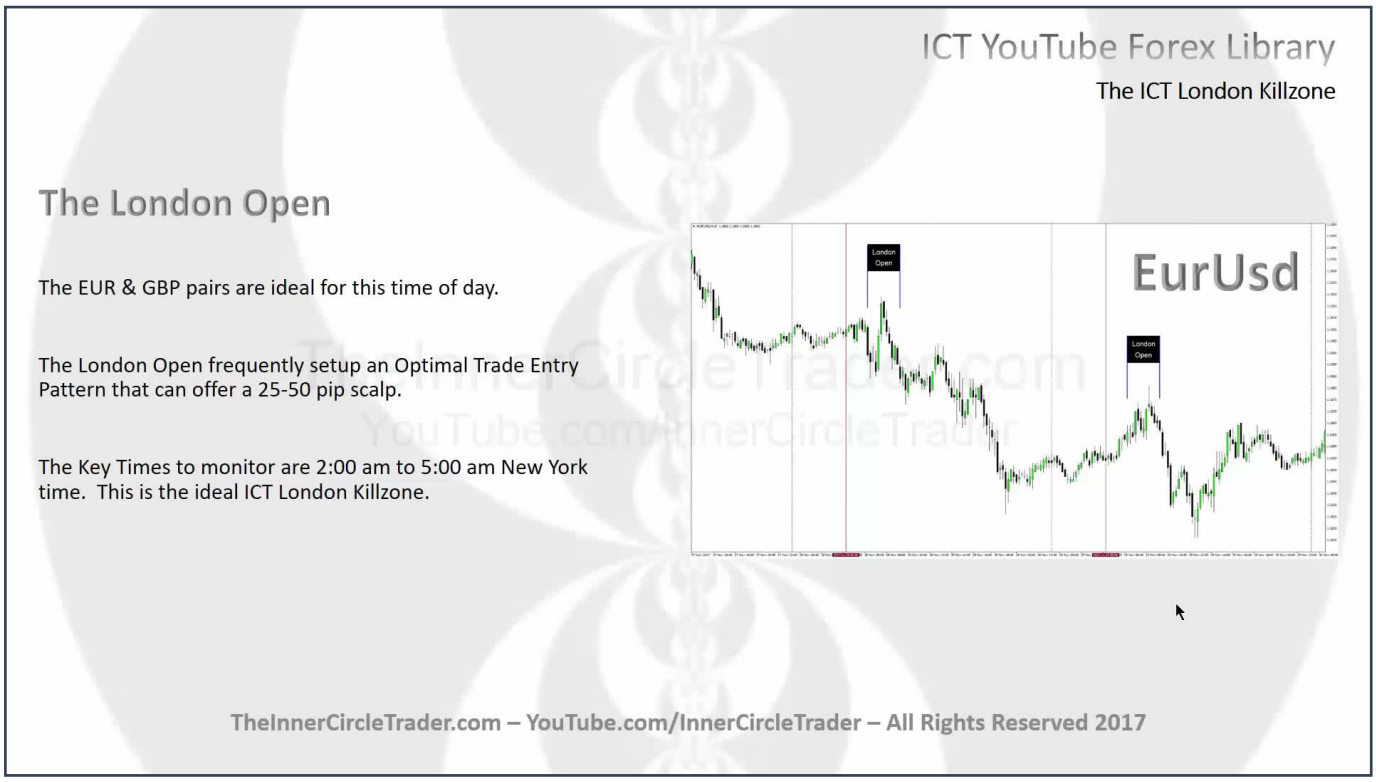
The key takeaway to study in your charts is that London Open generally has the highest probability of creating the high or the low of the day.

- Price trades up into the little blue line segment, which delineates the window of opportunity between 2:00 AM and 5:00 AM New York time.

- Observe how it beautifully goes up, makes the high of the day, and then trades progressively lower.

- On another day, it trades up, spikes up, creates the high of the day, and then sells off.

- This was a significant discovery in my career because it helps determine when the actual high or low of the day will form when I am bearish or bullish.



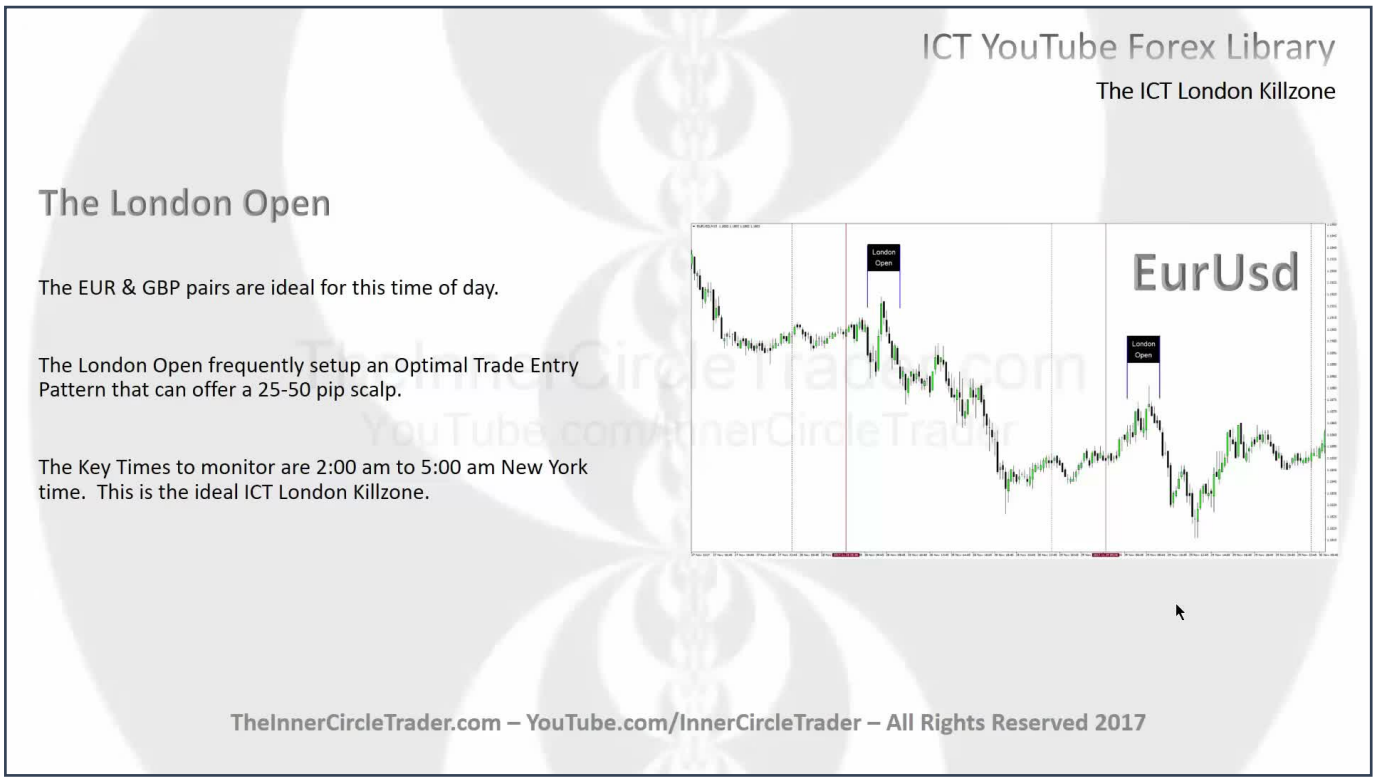
Imagine getting three to four opportunities to get the high or very close to the high of the day and riding the majority of the daily range; this can lead to exceptional results.

- This phenomenon is not limited to just Forex.

- It occurs in other assets like Bitcoin, cryptocurrencies, commodities, and bonds, and just about everything that trades electronically overnight.

- You can anticipate this in index trading as well (e.g., DAX, FTSE, S&P 500, Dow, or Nasdaq futures contracts) during overnight trading.

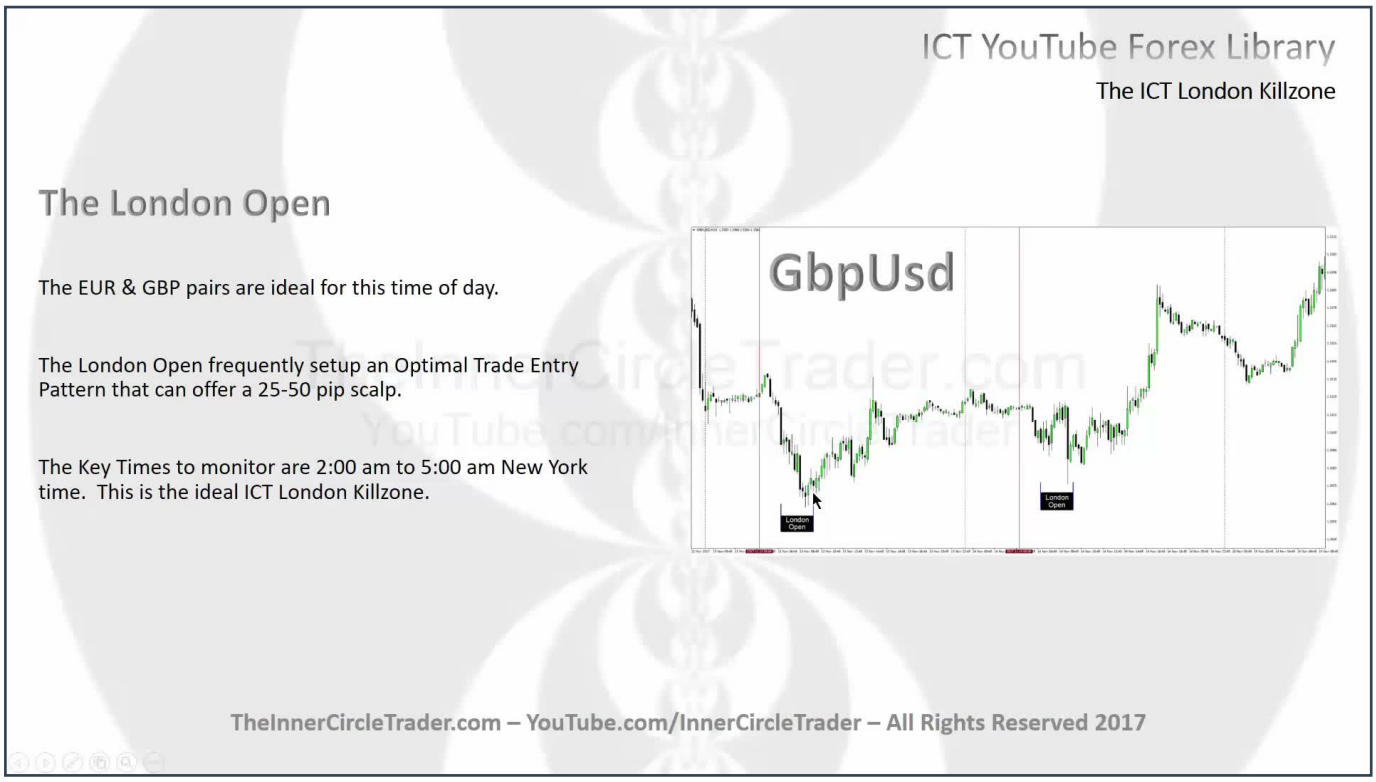
- While many assumed it was limited to Forex, I used this same concept as a commodity trader in the early 90s, indicating its universal application.



In a strong trending environment, you want to be really focusing on London because London will give you the highest probability of a low-risk entry price point.

- Conversely, when the market is bullish, the tendency is for the market to trade down, creating the low of the day in the London Open ICT Killzone.

- Example: Market trades down after midnight New York time, creates the low of the day between 2:00 AM and 5:00 AM New York time, then takes off aggressively.



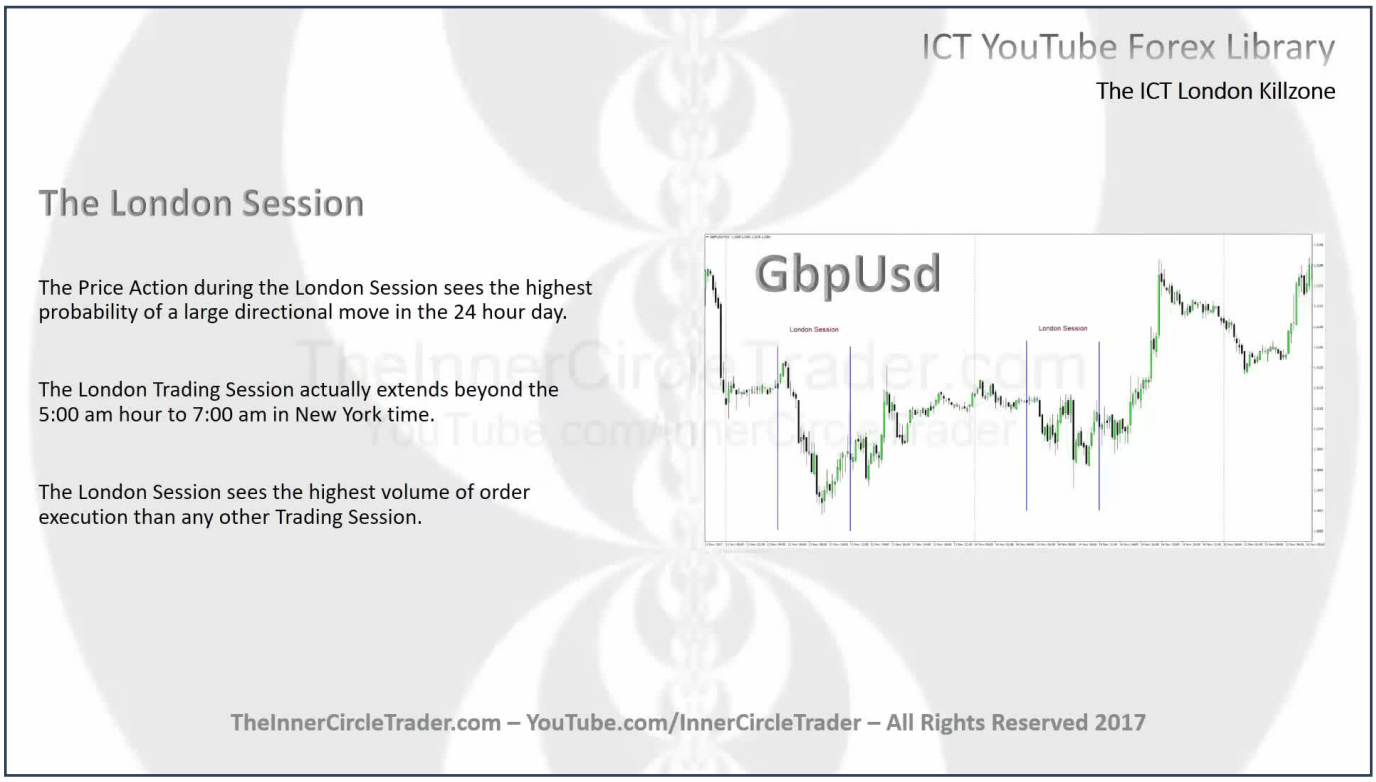
Observe two back-to-back trading days where opportunities arose.

- If you could have taken a long, not even at the absolute low, but perhaps using a buy stop to get in, trailing a buy stop above individual candle highs until it trips you in, and holding it for 30-40 pips each trading day, it adds up quickly.

- Notice the relationship between one London Open low and the immediate day after London Open low.

- A range is framed by the low here and the highest high between the two London lows, defining your trading range.

- This would be an optimal trade entry long, using previous day's data to today's London setup, resulting in price expansion on the upside. Focus on London Open creating the low of the day when the underlying market is poised to go higher.

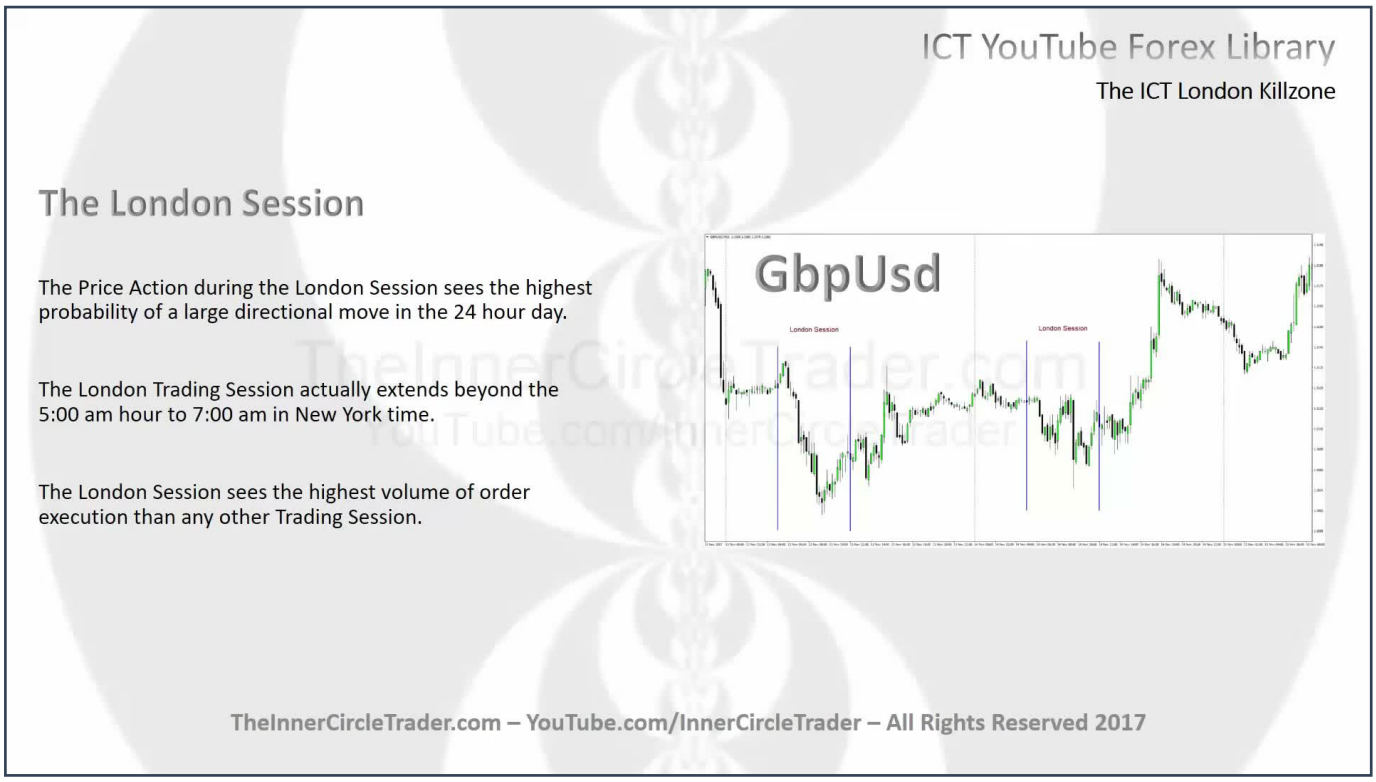


The London session itself actually trades a little bit longer than 5:00 AM.

- For the sake of my concepts, I want to graduate over time the significance of 5:00 AM New York time to 7:00 AM New York time, which is classically like a London lunch period.

- During this period, it can go quiet or have minor retracements, but I don't like to see any type of entry between 5:00 AM and 7:00 AM New York time.

- This is because it can tend to wait for the New York Open, which will be covered in the next lesson.



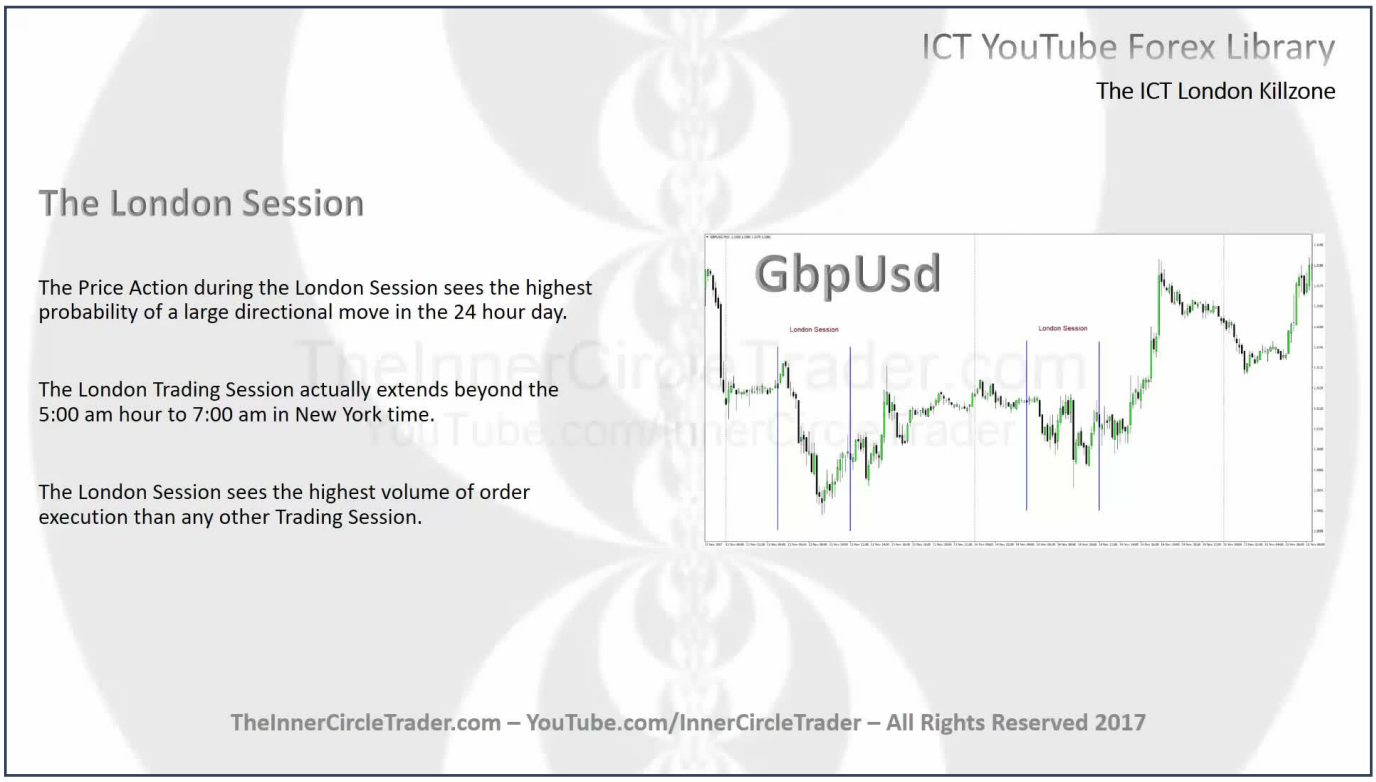
Price action during the London session sees the highest probability of a large directional move in the 24-hour day.

- The most 'bang for your buck' is going to be in the London Open.

- However, if you don't know what you're doing, you can get really hurt quickly in the London session because it can be extremely volatile, like a lightning bolt.

- If caught on the wrong side of the marketplace with a high-impact event during that timeframe, you can get mowed over rather quickly.

- If you don't use stop-loss orders, that session will treat you very cruelly by taking money from you, as London can be extremely one-sided and relentless once it takes off, not giving you a chance to get off the hook.



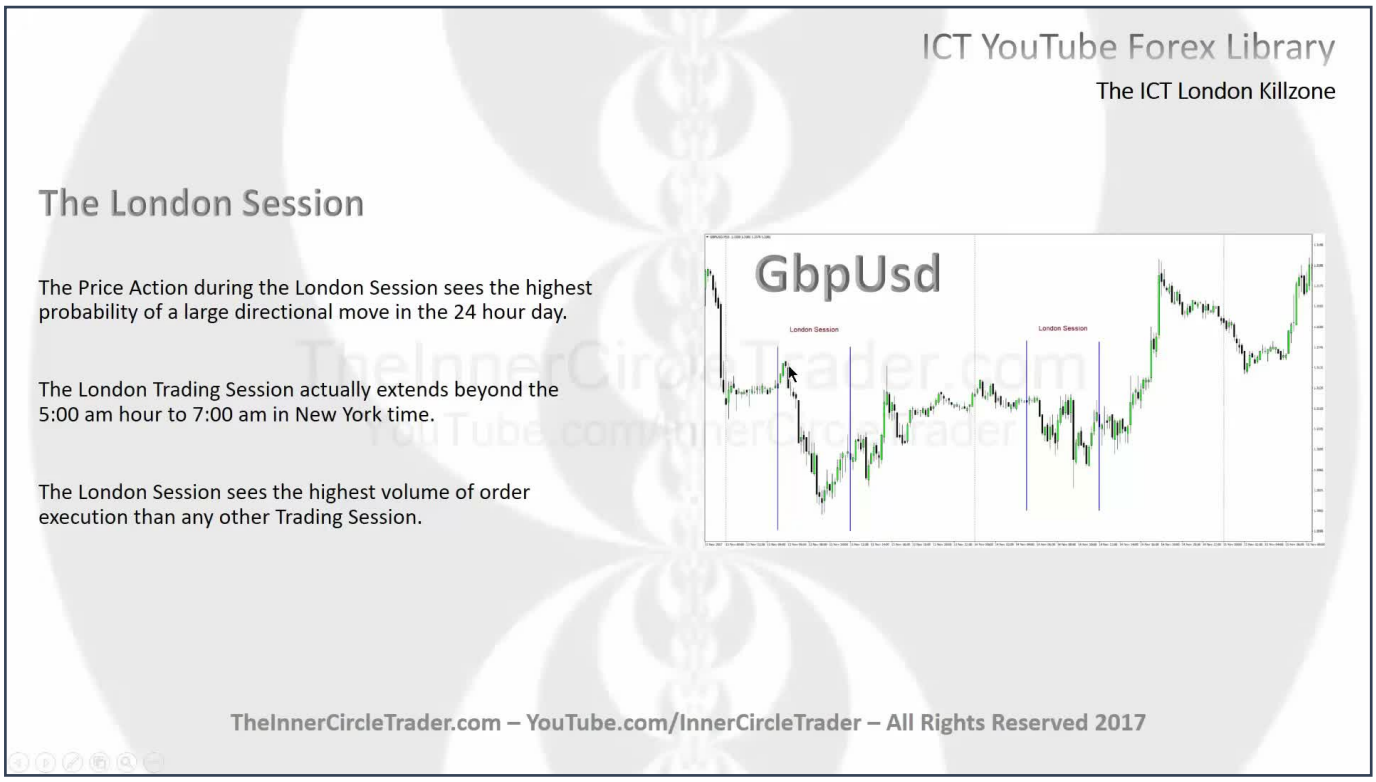
The London trading session actually extends beyond the 5:00 AM hour to 7:00 AM New York time, and sees the highest volume of order execution than any other trading session.

- Looking at a profile chart, we don't need to zoom in on wicks and candle bodies, but graphically observe how the range expands and how it looks overall.

- Price is fractal; we can anticipate seeing duplicate patterns on lower timeframes that are seen on higher timeframes.

- If we understand it's a daily range, for a bearish market profile, the opening on the daily range or the opening bar is going to be at or near the high of the day, with limited upside above the opening price.

- The largest portion of the range will be between the open and the close, with the close near the low of the day.



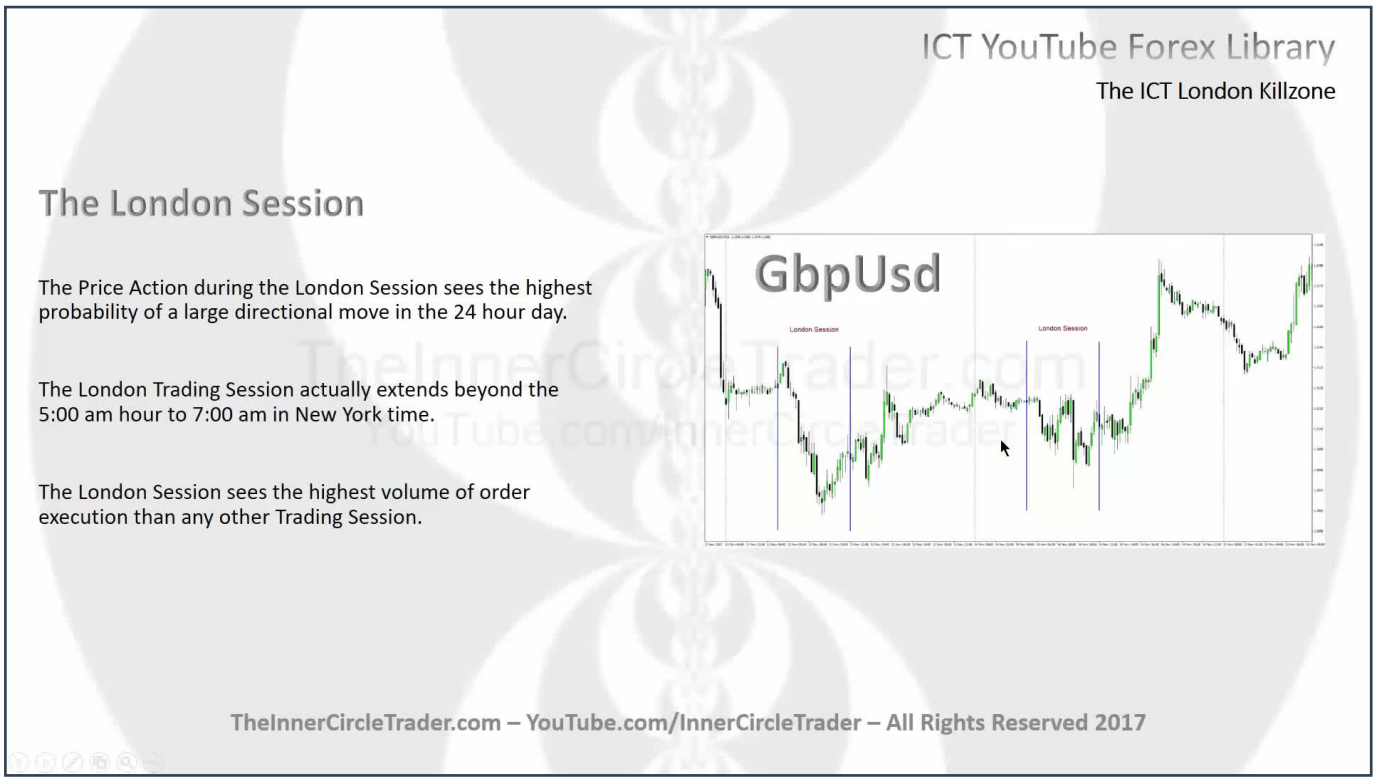
This intraday price action, between 2:00 AM and 7:00 AM New York time (a five-hour window), can be viewed as a micro Power 3 formation.

- Why is this significant? If we assume we were anticipating a bullish market move, maybe price traded down to a support level, consolidated, and then came down initially right after the 2:00 AM period.

- If price doesn't start to run during the London session, we could reasonably expect that the real move is going to be in the next trading session, which is the New York session.

- You can see the move ensues after the crossover from the London session and the beginning of the New York session.

- The London session technically extends beyond 7:00 AM up into 10-11:00 AM New York time, creating an overlap of New York and London trading.



The key takeaways for you are that the London session can create the high or low of the day, and we can also study the profile that takes place between the beginning and ending of the overnight session.

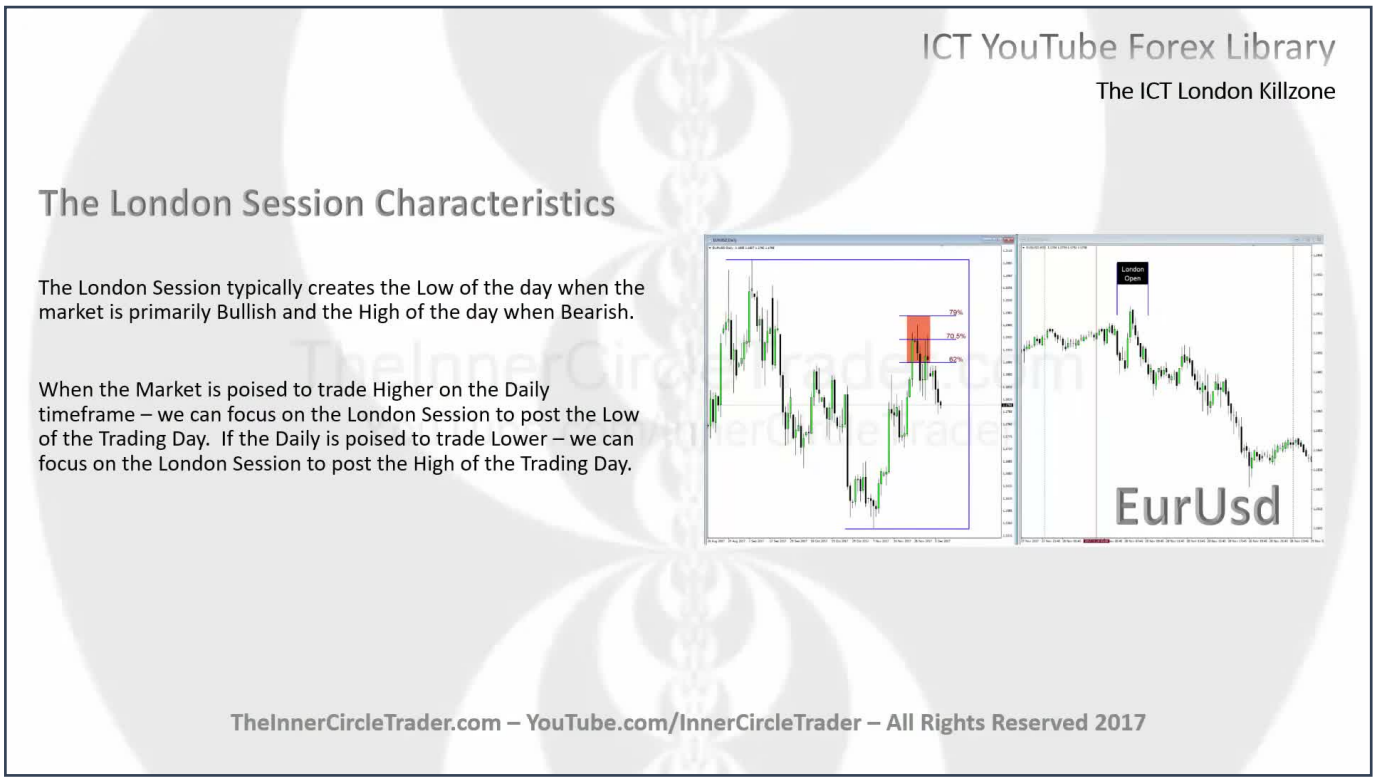
- If it's trending, chances are we could see a rather quiet New York session (though not always, it's a way I look for a slow New York session).

- Alternatively, we could have a reversal scenario, as seen here where the New York session had a little reversal but then consolidated, trading in the middle of the overall range into the close.

- On the very next day, an initial drop down in London created a low of the day, but it closed the session right in the middle, lacking a strong trend.

- However, as soon as we crossed over into the New York session and its overlap with London, we had the optimal trade entry, and then the dynamic imbalance or range expansion occurred for the daily upside and up close.

- London gives us a lot of things to study; go through your charts and look for examples like those outlined here, and you'll be rather surprised.



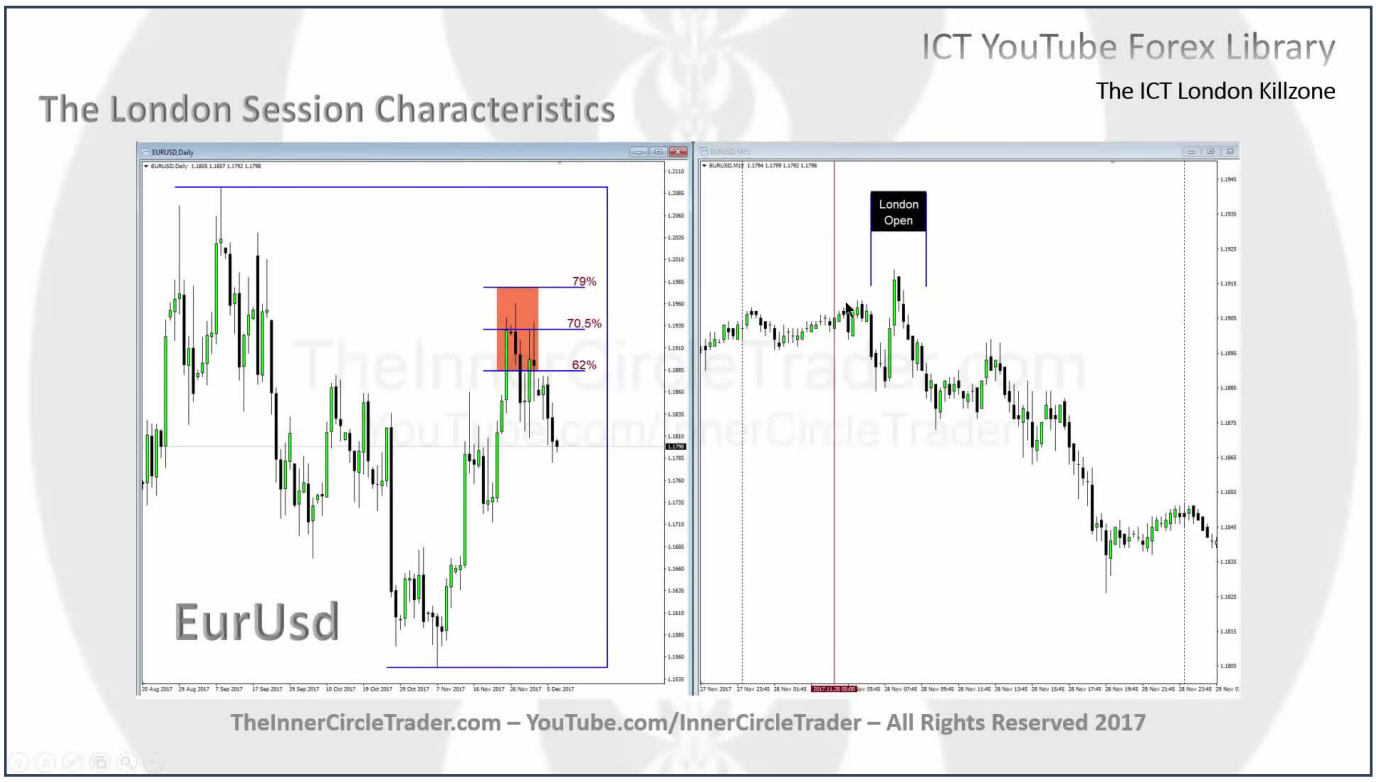
London session characteristics:

- A London session typically creates the low of the day when the market is primarily bullish.

- It creates the high of the day when the market is primarily bearish.

- When the market is poised to trade higher on a daily timeframe, we can focus on the London session to post a low of the trading day.

- If the daily is poised to trade lower, we can focus on the London session to post the high of the trading day.



Instead of cluttering the chart with Fibonacci, I've drawn lines indicating the high and low being used (including wicks on a daily timeframe to encapsulate the entire range).

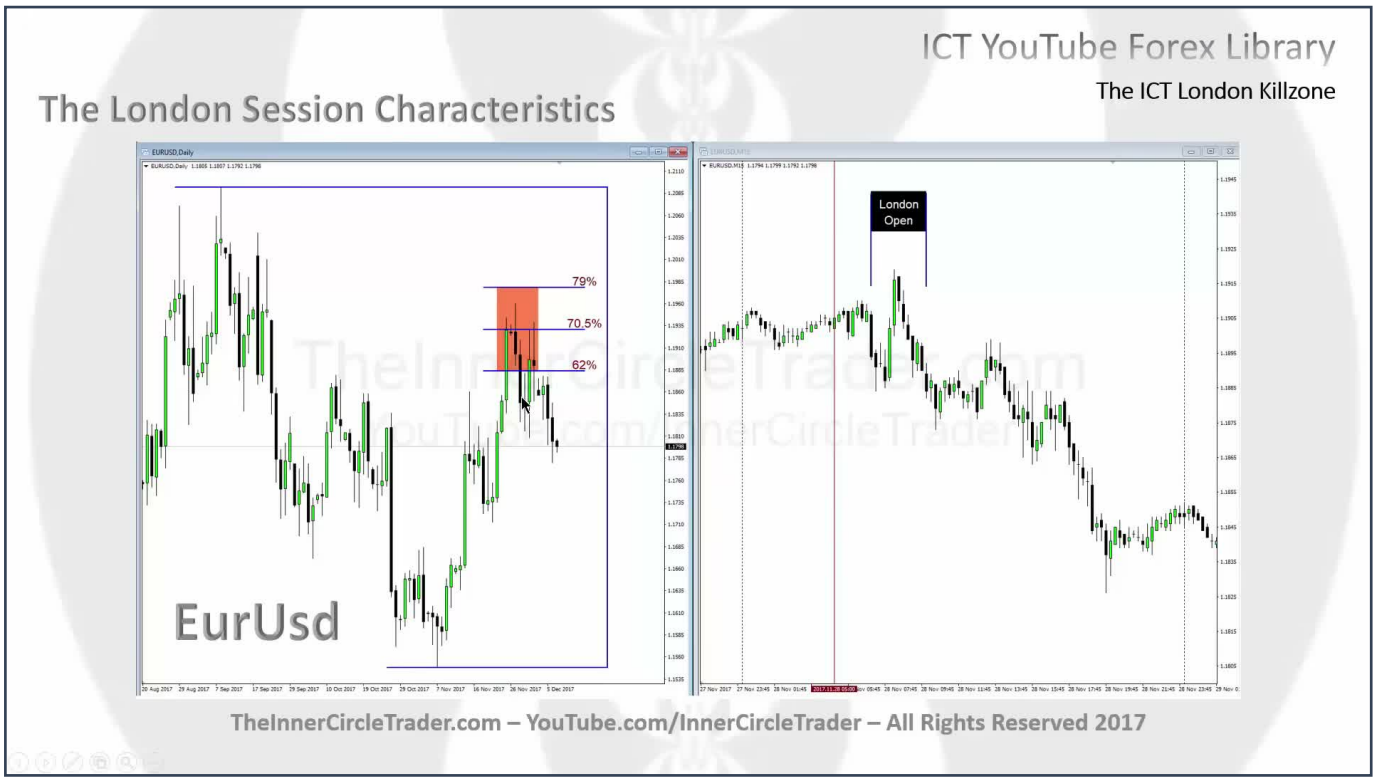
- This won't change the fact that it will still take us up into an optimal trade entry, which is a non-indicator form of overbought or oversold.

- Here, the Euro is trading up into the 270.5 level, failing to get to the 79 level.

- This candle shows a willingness to want to reverse, suggesting the next candle could potentially be bearish.

- When we have a bearish candle like this, and we're inside the area of optimal trade entry for a sell, or deemed a potential sell, we want to study the very next candle.

- It may give us a condition that frames a Power 3 formation with a down close relative to the daily chart.



On November 28th, the market traded sideways until midnight New York, then initially dropped down.

- We want to see it rally up into London Open; this area is where it drops, but we want to see price rally up so we can sell.

- Notice also equal highs about 10 pips above a short-term high.

- This gives us the high of the day, aligning with the expectation for London Open to create the high of the day if the daily bias is bearish (because it traded into an optimal trade entry and showed a willingness to reject).

- Look for characteristics like an open, then a rally above, especially after taking out equal highs (buy stop liquidity pool).

- Price runs up, knocks out the stops, and then trades aggressively lower, creating the low of the day, coming off a low, and trading at or near the low.

- In relation to Power 3, this price action (between 2:00 AM and 5:00 AM) would be the daily range, showing limited upside movement above the opening, creating the high of the day during the London Open Killzone.

- Then, a dynamic imbalance or range expansion for the daily candle or bar creates the low of the day, comes off the low, and closes near the low. This is what an open-high-low-close looks like on an intraday timeframe.